Provincial or Territorial Foreign Tax Credit

Use this form to calculate the foreign **non-business** income tax credit for 2025 that you can deduct from the income tax payable to the province or territory you resided in at the end of the tax year.

This form does **not** apply to **residents of Quebec**.

If you must pay minimum tax and you were a **resident of Manitoba**, you **cannot** claim a provincial foreign tax credit.

Before you complete this form, calculate your federal foreign tax credit by using Form T2209, Federal Foreign Tax Credits. If the amount of the federal foreign non-business income tax credit you are entitled to deduct is equal to the foreign non-business tax you paid, your provincial or territorial foreign tax credit would be zero. As a result, you do not have to complete this form.

If you paid tax to **more** than one foreign country, and the total of the non-business income taxes that you paid to all foreign countries was **more than $200**, do the calculation on a separate form for each country in Canadian dollars.

Country or countries for which you are making this claim:

Enter the amount from line 1 of Form T2209.		1
Enter the amount from line 3 of Form T2209, unless you have to pay minimum tax.(1)	–	2
Line 1 minus line 2	=	3

Net foreign non-business income (2) / Net income (3) × Provincial or territorial tax otherwise payable (4) = 4

Enter **whichever amount is less**: line 3 or line 4.
The amount on line 5 **should not** be more than the amount entered on the line for provincial or territorial tax otherwise payable.

Provincial or territorial foreign tax credit 5

Enter the total from line 5 (for each country if applicable) on the line for the provincial or territorial foreign tax credit of Form 428. If you have to pay tax to more than one jurisdiction, enter the amount from line 5 on the applicable line in Part 4, Section 428MJ of Form T2203, Provincial and Territorial Taxes for Multiple Jurisdictions, only for the province or territory you resided in on the last day of the tax year.

(1) If you must pay minimum tax, follow the instructions below:

- If you were a resident of **British Columbia** at the end of the year, enter the amount from line 3 of Form T2209 on line 2.
- If you were a resident of **Ontario** at the end of the year, follow the instructions that apply to your situation:
  - If the total non-business income taxes you paid to all foreign countries is **$200 or less**:
    1. Take the amount from line 1 of this form.
    2. Divide it by the sum of line 1 of this form and the amount on line 8 of Part 4 of Form T691, Alternative Minimum Tax.
    3. Multiply that result by the special foreign tax credit on line 11 of Part 4 of Form T691.
    4. Enter the result on line 2.
  - If the total non-business income taxes you paid to all foreign countries is **more than $200**, you must calculate for **each country**:
    1. Take the amount from line 1 of this form for that country.
    2. Divide it by the total foreign taxes paid for 2025 (to get this total, add the amount on line 7 of Part 4 of Form T691, Alternative Minimum Tax, divided by 66.6666% and the amount on line 8 of Part 4 of Form T691).
    3. Multiply that result by the special foreign tax credit on line 11 of Part 4 of Form T691.
    4. Enter the result on line 2 of the sheet for that country.
- If you were a resident of **another province or territory** at the end of the year, enter the part of special foreign tax credit (line 11 of Part 4 of Form T691) that relates to non-business income taxes you paid to a foreign country for 2025 on line 2.

(2) **Net foreign non-business income**

Enter the amount reported as net foreign non-business income from line 2 of Form T2209.

(3) **Net income**

Enter the amount reported as net income from line 2 of Form T2209.

If you were a resident of Canada for part of the year, include the income for the part of the year you were a resident of Canada plus any income and losses referred to in paragraphs 115(1)(a) to (c) of the Income Tax Act as reported on your Canadian tax return, for the part of the year you were not a resident of Canada.

If you paid tax to more than one jurisdiction in 2025, calculate this amount according to note (3) of Form T2209. However, instead of using "line 23600 of your return plus the amount on line 68360 of Form T1206" as stated in that note, use the amount allocated to your province or territory of residence in column 4 of Part 1 of Form T2203 to do the calculation.

(4) **Provincial or territorial tax otherwise payable**

If you were a resident of a province or territory **other than** Ontario, Alberta, or British Columbia, enter the amount of tax calculated **before** determining the provincial or territorial foreign tax credit by using the appropriate Form 428. However, if you have to pay tax to more than one jurisdiction, complete the applicable part of Section 428MJ of Form T2203 for the province or territory in which you resided at the end of the year.

If you were a resident of **Ontario**, calculate this amount by entering "0" on lines 70 and 72 of Form ON428 and continue the calculation. The result from line 81 is your provincial or territorial tax otherwise payable. If you paid tax to more than one jurisdiction in 2025, calculate this amount by entering "0" on lines 43 and 45 in Part 4 of Section ON428MJ of Form T2203 and continue the calculation. The amount from line 58 is your provincial or territorial tax otherwise payable.

If you were a resident of **Alberta**, calculate your provincial or territorial tax otherwise payable by adding the amount from line 63 to the amount on line 68 of Form AB428 or by adding the amount from line 20 to the amount from line 36 in Part 4 of Section AB428MJ of Form T2203.

If you were a resident of **British Columbia** at the end of the tax year, your provincial or territorial tax otherwise payable is the amount of tax excluding the provincial and territorial foreign tax credit and any British Columbia additional tax for minimum tax purposes from Form BC428 or Section BC428MJ of Form T2203.

See the privacy notice on your return.